Richard Whitney
1888–1974

Yes, Richard Whitney did jail time. Yes, he stole from his friends. And yes, he was once a very articulate and well-respected symbol of Wall Street, who attempted to restore order after the 1929 crash. Considered an aristocrat, Whitney attended an elite private school and then went to Harvard. After graduating, he worked briefly for Kidder, Peabody & Company before buying his own seat on the New York Stock Exchange and founding Richard Whitney & Co in 1917. While well-respected, it was the 1929 crash that thrust him into the limelight. "Whitney first achieved important public attention," wrote one historian, "during the October 1929 crash, when he appeared on the floor to rally support for the market."

Of Black Tuesday, Whitney recalled: "The ticker ran hours behind; it was impossible to place orders promptly because of congestion on both telephone lines and the pneumatic tube, the wooden boxes which ordinarily hold orders were replaced by tall waste-paper baskets, and in some instances all the parties to a transaction could not be identified." The image of Whitney buying a large block of U.S. Steel stock to rally the troops did indeed make an impression—he was elected president of the exchange in 1930, and subsequently became its most important spokesman in the face of growing criticism.

About that same time, Whitney, who had invested heavily in a failing business, found himself in financial trouble. To cover his losses, Whitney swindled his customers, partners, and friends of more than $5 million, at times using money borrowed from one friend to pay off another. When an audit conclusively proved he was dipping into his customers' accounts, Whitney admitted his crimes. He promised to return all funds, but insisted there be no charges filed against him. "After all," he said, "I'm Richard Whitney. I mean the Stock Exchange to millions of people. The Exchange can't afford to let me go under." His plea fell on deaf ears—Whitney was indicted for grand larceny in 1938 and was sentenced to 5 to 10 years in Sing Sing. The irony and lessons of his 1933 essay, *In Defense of the Stock Exchange,* cannot be lost as Whitney calls for discipline and order.